



“GDP data collection is a very broad exercise. It is not like you are collecting one number, so you can easily fudge it. It is a mass of numbers”

we observed in China is now behind us. That is not coming back. Singapore, Taiwan, South Korea and counting Hong Kong as well, are the four countries before China that had grown for about three decades at rates that were 9-10%. After three decades, when you get to the fourth decade, growth usually drops to somewhere between 5% and 7%, and when you get to the fifth decade, it drops to below 5%. So even without any of the other things, any of the other shocks, Chinese growth was certainly ready to drop. In addition,

now it seems to me that the Chinese leadership has done things that were detrimental to the business environment. The growth rate that was already declining, got another negative shock through the actions of the government. In my assessment, now we will probably not see a growth rate of China that is more than 5%—more likely 3% or 4%.

Q: Do you think India can grow and sustain it at 8% without overheating?

A: I wouldn't say the economy had overheated in any way. I think we made mistakes in the second term of the United Progressive Alliance government. And that is what set back the growth rate. And then, of course, the banking crisis, the NPAs took their toll. We are very much capable of sustaining 8% growth. If we do the right things, including on trade, we certainly have the prospects of getting to 9-10%. There is no reason, in my view, why we cannot do that.

Q: Would you say that Modi 3.0 should focus on trade and go ahead with free trade agreements?

A: One hundred per cent! Absolutely! I think that is imperative, it is essential. I would love

to see us knock down the tariff barriers across the spectrum, meaning uniformly across all countries. But that is probably not going to happen. So, the next best thing really is free trade agreements, which come together with our geopolitics because the government clearly wants to move away from China.

Q: Can the return of Donald Trump as US President wreck what is left of the global free trade order?

A: Well, we will see. There is some rhetoric of that kind that is coming in. But you know, certainly President Trump was very much for reciprocity. So, if on a reciprocal basis, he will keep his own barriers low, I have no problem with that. We should lower our trade barriers. That is good for us. If reciprocity will do it, I think we can still remain in business. But we have to be willing to engage reciprocally. By the way, free trade agreements are all about reciprocity. We should first very quickly complete the one with the UK, and the one with the European Union. We will then be very well placed to deal with the US. **BT**

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